

HIGH COURT · JUDGMENT DIGEST

JSW Energy Limited v. Karnataka Electricity Regulatory Commission

WRIT PETITION No. 13316/2025, 14646/2025, 26022/2025, 30238/2025 (Consolidated) | High Court of Karnataka at Bengaluru
| Reserved / CAV judgment, 12 June 2026

COURT	High Court of Karnataka at Bengaluru (Single Judge)
CORAM	Hon’ble Mrs Justice K.S. Hemalekha
DATE OF JUDGMENT	12 June 2026 (reserved 08/04/2026; challenged KERC order dated 28.03.2025)
NATURE OF PROCEEDING	Writ Petitions under Articles 226 and 227 of the Constitution of India, challenging the KERC’s suo-motu order dated 28.03.2025 prescribing the Procedure for Data Collection, Scrutiny and Verification of Intra-State Captive Status of Generating Plants and Captive Users
PARTIES	Distributed Solar Power Association, JSW Energy Limited, Sembcorp Green Infra Pvt. Ltd., Green Infra companies, JSW Steel Limited and Orient Cement Limited (impleading applicant) (petitioners) v. Karnataka Electricity Regulatory Commission and Central Electricity Authority (respondents)
PROVISIONS	Sections 2(8), 2(49), 9, 42, 50, 86, 181, Electricity Act, 2003; Rule 3, Electricity Rules, 2005; Articles 226 & 227, Constitution of India
RESULT	Writ petitions allowed. The impugned KERC order dated 28.03.2025 prescribing Clause 6.7 (dynamic proportionality test and Unitary Qualifying Ratio) is quashed. KERC is directed to reconsider and frame an appropriate procedure consistent with Rule 3 of Electricity Rules, 2005 and the law declared by the Apex Court in <i>M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited</i> , after following due consultative process and principles of natural justice. No coercive action against petitioners pending reconsideration.

POINT FOR DETERMINATION

- Whether the impugned KERC order dated 28.03.2025, prescribing the test of proportionality for group active users through Clause 6.7, is contrary to Rule 3 of the Electricity Rules, 2005 and the law declared by the Apex Court in *M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited*?
- Whether the KERC could prescribe a dynamic ‘Unitary Qualifying Ratio’ (UQR) based on total actual captive consumption and total ownership, contrary to the proportionality formula recognized by the Apex Court ($51\% \div 26\% = 1.96\%$)?
- Whether the impugned order travels beyond the scope of Rule 3 of the Electricity Rules, 2005 and introduces a new substantive qualification mechanism not contemplated under the Rules or the Apex Court judgment?

FACTS

On 28 March 2025, the KERC issued a suo-motu order establishing a ‘Procedure for Data Collection, Scrutiny and Verification of Intra-State Captive Status of Generating Plants and Captive Users.’ Clause 6.7 of this order prescribes a test of proportionality for group captive users through a dynamic formula: Unitary Qualifying Ratio (UQR) = $Y \div X$, where Y is the percentage of total actual consumption by captive users and X is the percentage of total ownership of captive users in the generating plant. This formula recalculates the UQR dynamically based on total actual consumption and ownership, applied with ± 10 per cent variation.

The petitioners in these consolidated writ petitions are entities and associations engaged in captive generation and consumption: JSW Energy Limited (a captive generator), JSW Steel Limited (a captive user), Sembcorp and Green Infra companies (power generators and operators), and Distributed Solar Power Association (representing distributed solar producers and captive users). They contend that the KERC order violates Section 9 of the Electricity Act, 2003, Rule 3 of the Electricity Rules, 2005, and the law declared by the Apex Court in *Dakshin Gujarat*. The Orient Cement Limited impleading applicant supports the petitioners on similar grounds.

The petitioners argue that KERC’s dynamic UQR methodology departs fundamentally from the Apex Court’s interpretation of Rule 3 in *Dakshin Gujarat*, which established that proportionality between ownership and consumption must be tested against a fixed qualifying benchmark of $51\% \text{ consumption} \div 26\% \text{ ownership} = 1.96\%$ per 1% shareholding (with $\pm 10\%$ variation), not against total actual generation or total consumption. KERC, they contend, has rewritten Rule 3 without jurisdiction, without fresh consultation (despite prior draft regulations 2023 and 2024), and in violation of principles of natural justice. They argue the proportionality requirement applies only to qualifying thresholds under Rule 3, not to total actual consumption.

KERC and the supporting respondents (CEA and BESCOM) contend the dynamic UQR merely operationalizes the proportionality requirement already embedded in Rule 3 and is necessary to prevent ‘gaming’ by insignificant shareholders consuming disproportionate electricity while claiming surcharge exemptions. They argue that 1.96% is merely illustrative, not a rigid universal formula, and that KERC has delegated authority under Sections 42, 86, and 181 to frame verification procedures for intra-state captive projects. They contend the procedure is preventive of misuse and does not impose a cap but ensures proportional consumption.

THIS COURT’S REASONING & HOLDING

HEADNOTE

The substantive captive-power framework in this judgment — the 26%/51% eligibility thresholds, the *Unitary Qualifying Ratio* ($51 \div 26 = 1.96\%$ of generation per 1% of shareholding, $\pm 10\%$) together with its five worked illustrations, and the anti-gaming and weighted-average principles — is the Supreme Court’s in *Dakshin Gujarat* (2023), which this Court **reproduces** (§ 34–37, 43–47) and applies; none of it originates here. This Court’s own holding is narrow: a State Commission cannot, through a captive-status *verification procedure*, substitute a *dynamic* UQR keyed to total *actual* consumption and ownership (KERC’s Clause 6.7) for the Supreme Court’s fixed qualifying-benchmark ratio — doing so rewrites Rule 3, exceeds delegated authority, and (absent fresh consultation) offends natural justice. The order is quashed and remitted.

What this Court had to decide. The single question this Court framed was whether KERC’s Clause 6.7 — a test of proportionality for group captive users — is consistent with Rule 3 and with *Dakshin Gujarat*, or whether it substitutes a different methodology. This Court reads *Dakshin Gujarat* as turning on four elements: minimum 26%

ownership, minimum 51% captive consumption, proportionality between the two, and prevention of ‘gaming’ by insignificant shareholders. ¶ 45

The Supreme Court’s benchmark is the *qualifying* requirement, not actual consumption. This Court holds that the Supreme Court derived the fixed UQR ($51 \div 26 = 1.96\%$) and its illustrations by measuring proportionality against the *qualifying* thresholds of Rule 3 — expressly *not* against 100% of generation or total actual consumption. ¶ 46–47

KERC’s Clause 6.7 departs from that benchmark by going dynamic. Clause 6.7 recalculates the ratio dynamically as ‘ $Y \div X$ ’ on *total actual* captive consumption and total ownership, so the qualifying ratio itself fluctuates. Neither Rule 3 nor ¶ 43 of *Dakshin Gujarat* contemplates such a fluctuating or dynamic UQR; the Rule fixes qualifying thresholds and the Supreme Court explained proportionality against those thresholds. ¶ 47

Anti-gaming observations cannot be used to replace the qualifying ratio. KERC’s reliance on the Supreme Court’s anti-gaming remarks (its ¶ 45–47) is misplaced: those observations cannot be read in isolation to substitute the qualifying ratio the Supreme Court expressly explained in its ¶ 43. Clause 6.7 thereby introduces a new verification mechanism found neither in Rule 3 nor in the Supreme Court’s judgment. ¶ 47

A materially new methodology required fresh consultation. Having earlier issued draft regulations (2023 and 2024) for stakeholder objections, KERC could not introduce a materially different methodology without fresh consultation and hearing; a challenge going to the jurisdiction and legality of the framework is not barred by the alternative-remedy rule. ¶ 48

The order is not ‘merely procedural’ and cannot be sustained. Because the methodology directly determines captive status and consequent cross-subsidy and additional-surcharge liability, it cannot be defended as merely procedural. The impugned order, introducing a dynamic UQR on actual consumption contrary to the qualifying benchmark in ¶ 43 of *Dakshin Gujarat*, cannot be sustained. ¶ 49

THE FRAMEWORK APPLIED — REPRODUCED FROM THE SUPREME COURT

SUPREME COURT · DAKSHIN GUJARAT (2023) — REPRODUCED BY THIS COURT, NOT ORIGINATING HERE

Statutory provisions — extracted by this Court

STATUTE

The High Court reproduces the governing text — the definition of a captive generating plant and captive user, Section 9 of the Act, and Rule 3 of the Electricity Rules, 2005 — for reference. These paragraphs quote the statute; they contain no interpretation by this Court. ¶ 29–33

Eligibility thresholds: 26% ownership and 51% consumption

SUPREME COURT

Per the Supreme Court in *Dakshin Gujarat*, reproduced by this Court: for an association of persons, Rule 3 prescribes a minimum of 26% ownership held by the captive users and a minimum of 51% of the annual generation consumed for captive use. ¶ 35

The Unitary Qualifying Ratio ($51 \div 26 = 1.96$) and its five illustrations

SUPREME COURT

Per the Supreme Court (its ¶ 43–44, reproduced verbatim by this Court): the proportionality principle in the second proviso yields a unitary qualifying ratio of $51\% \div 26\%$ — every 1% of shareholding carries a minimum consumption of 1.96% of generation, within a $\pm 10\%$ band (1.764% to 2.156%). The Supreme Court illustrated this with five worked tables (Mr. Ramachandran’s illustrations), applying the ratio per user and then checking that the qualifying users cumulatively hold $\geq 26\%$ and consume $\geq 51\%$. This is the Supreme Court’s holding, not this Court’s. ¶ 34

Benchmark is the qualifying requirement, not total generation/consumption

SUPREME COURT

Per the Supreme Court, as summarised by this Court: proportionality is examined against the *qualifying* requirement under Rule 3 (the 26%/51% figures), and *not* against 100% of total electricity generated or total actual consumption.

¶ 36–37

Anti-gaming: the ratio checks the insignificant shareholder

SUPREME COURT

Per the Supreme Court (its ¶ 45, reproduced by this Court while recording KERC’s argument): the interpretation checks ‘gaming’ — a 1% or otherwise insignificant shareholder who disproportionately uses the electricity should not be treated as a group captive user. ¶ 43

Weighted-average shareholding for mid-year changes

SUPREME COURT

Per the Supreme Court (its ¶ 46–47, reproduced by this Court): the minimum ownership and consumption must be maintained continuously, not merely at year-end, and where shareholding changes during the year a weighted-average-shareholding method is used to compute the proportionate consumption required. ¶ 43

RATIO DECIDENDI

A State Electricity Regulatory Commission cannot, through a data-collection and verification procedure framed under its delegated powers, adopt a *dynamic* or fluctuating Unitary Qualifying Ratio computed on total *actual* consumption and total ownership (as in KERC’s Clause 6.7). The Supreme Court in *Dakshin Gujarat* fixed the proportionality benchmark against the qualifying thresholds of Rule 3 ($51\% \div 26\% = 1.96\%$ per 1% of shareholding, $\pm 10\%$), assessed against the qualifying requirement and not against total generation or consumption; a Commission that recalculates that ratio dynamically rewrites Rule 3 and exceeds its authority. A materially new methodology so introduced, without fresh consultation despite earlier draft regulations, also offends natural justice. (*The proportionality framework itself is the Supreme Court’s holding, applied here — it is not laid down by this Court.*)

DISPOSITION

The writ petitions are allowed. The impugned order dated 28.03.2025 passed by the KERC is hereby quashed. The KERC is directed to reconsider the matter and frame an appropriate procedure consistent with Rule 3 of the Electricity Rules, 2005 and the law declared by the Apex Court in *M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited and Another*, after following due consultative process and principles of natural justice. Till such reconsideration, no coercive action shall be taken against the petitioners. Pending I.As, if any, do not survive for consideration.

SIGNIFICANCE

This judgment is, in substance, an application of the Supreme Court’s *Dakshin Gujarat* framework to a State Commission’s verification order. Its own contribution is confined to the limits of regulatory delegated authority:

- **Almost all the substantive law here is the Supreme Court’s, not this Court’s.** The captive-eligibility thresholds, the UQR and its illustrations, and the anti-gaming and weighted-average principles are reproduced from *Dakshin Gujarat*; the High Court decides only whether KERC’s order conforms to that binding framework.
- **A regulator may operationalise, but not re-engineer, a Supreme Court formula.** Converting the Supreme Court’s fixed qualifying-benchmark ratio into a dynamic ratio keyed to actual consumption is a substantive rewriting of Rule 3, not mere procedure.

- **Delegated verification power is bounded by the parent Rule and binding precedent.** Powers under Sections 42, 86 and 181 do not authorise a methodology that alters who qualifies as a captive user or that departs from the Supreme Court’s construction of Rule 3.
- **A materially new methodology needs fresh consultation and cannot hide behind ‘procedure’.** Departing from the 2023/2024 draft regulations without re-consulting stakeholders offends natural justice, and an order that determines captive status and surcharge liability is not saved by being labelled procedural.

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>M/S. Dakshin Gujarat Vij Company Limited v. M/S. Gayatri Shakti Paper and Board Limited and Another</i> 2023 SCC Online 1276 · Supreme Court of India	The controlling precedent. Interpreted Rule 3(1)(a) of the Electricity Rules, 2005 and laid down the captive-eligibility framework applied throughout this judgment: minimum 26% ownership and 51% consumption; the Unitary Qualifying Ratio of $51 \div 26 = 1.96\%$ per 1% shareholding ($\pm 10\%$) with five worked illustrations; proportionality measured against the qualifying requirement, not total consumption; and anti-gaming / weighted-average principles. This Court reproduces and applies it, holding KERC’s dynamic UQR inconsistent with it.	Applied
<i>Kadodara Power Pvt. Ltd. and Others v. Gujarat Electricity Regulatory Commission and Another</i> 2009 SCC Online APTEL 119 · Appellate Tribunal for Electricity	Referred to only as it figures within <i>Dakshin Gujarat</i> : the Supreme Court affirmed Kadodara’s reasoning that proportionality of consumption is assessed against the qualifying 51% requirement and not against 100% of generation. Not independently applied by this Court.	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.